

BOARD OF THE CBA

MINUTES

(30.07.2019)

On the Refinancing Rate

The CBA Board Meeting of July 30, 2019 attended by Deputy Governors Nerses Yeritsyan and Vakhtang Abrahamyan, and Board Members Ashot Mkrtchyan, Arthur Stepanyan, Armenak Darbinyan and Oleg Aghasyan

The Board meeting opened with presentation of the Situation Report as of July 30, 2019. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy.

There was 1.9% deflation registered in June 2019 which was higher than predicted and determined by a deeper seasonal decline in prices of agricultural products. Particularly, vegetable prices have fallen by 28.2% (contribution to inflation: -1.6 pp) and egg, dairy and fats and oils prices by 1.3, 0.5% and 0.6 pp, respectively (contribution to inflation: -0.06 pp). As a result, the 12-month inflation has reduced, amounting to 2.5% in June. During the month, **the 12-month core inflation rate** has increased, **reaching 1.5%**.

Addressing the current economic situation, the Board stated that **economic activity remained strong over the second quarter of 2019 too, as was expected**. Thus, the Economic Activity Indicator has been 6.5% in the period January-June, mostly thanks to the growth in the services sector, which was accompanied by high growth in private consumption. At the same time, domestic demand continued to be contained during the second quarter as a result of the implemented fiscal policy. This will, however, be somewhat mitigated in the second half of the year when, under the assumption that the annual state budget program is performed, a large amount of expenditures will be made on account of the first-half savings.

Trends in the external sector, as discussed at the Board's meeting, further point to the slowing of global economic and demand growth rates, which also leads to a persistently sluggish inflation environment in basic food and commodity markets of the world. In such a circumstance, the central banks of main trade partner countries to Armenia will attempt to loosen monetary policy conditions in the near future. Specifically, the Central Bank of Russia has already lowered the policy rate and is expected to cut it further in view of the developments in the financial markets, which points to the fact that inflation is actually low and will possibly

be reducing in the near future. The US Federal Reserve System has, as opposed to the last end-year's policy of raising interest rates and anticipated short-term tightening of monetary conditions by the markets, communicated its moving to a stimulative policy thus helping financial markets shape expectations in the financial markets for such a policy, which is attributable to an actually low inflation, on the one hand, and the demand contracting amid uncertainties as a consequence of trade wars, on the other. Despite leaving the policy rate unchanged at the last meeting, the European Central Bank has also announced its intention to move to a more stimulative policy in the near future, as inflation had been running below the target in the recent years and there had been expectations that it would linger over a long run.

The Board talked about the developments in the domestic financial market, stating that in the second quarter, too, the **short-term financial market rates fluctuated mostly around the policy rate of the Central Bank.**

Following presentation of the Situation Report and the developments in external and domestic macroeconomic environments, the Board began addressing the monetary policy directions and making decision on the interest rate. **The options whether the refinancing rate is to be left unchanged or reduced were discussed.** The Board decided on **leaving the refinancing rate unchanged**, estimating that gradual recovery of inflation is preferable and taking into account an expansionary impact of the fiscal policy. Given the predictable macroeconomic developments, the Board reckons that monetary conditions have to be kept expansionary for as long as needed for fulfillment of the inflation target in the medium run. As a result, the expectation is that the inflation will run below the target in the coming months but will later stabilize around it.

The Board also looked to current inflation risks; still on a downward path, these risks depend on how the developments in the external environment unfold and if the state budget performs in a lesser expansionary pattern. If these risks materialize, an appropriate monetary policy response will come along to ensure price stability in the medium term.

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

Deciding on the Interest Rate

CODE

050.0099 L. 30.07.19

July 30, 2019

No. 99 L

Interest Rates of Operations by the Central Bank of the Republic of Armenia in the Financial Market

By virtue of Article 20 (c) of the Republic of Armenia Law on the Central Bank, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. Leave the refinancing rate of the Central Bank of the Republic of Armenia unchanged, at 5.75%.
2. To the Financial Department of the Central Bank of the Republic of Armenia to carry out operations in the financial market of the Republic of Armenia, using the interest rates, as follows:
 - 2.1 Lombard facility rate offered by the Central Bank to be 7.25%.
 - 2.2. Deposit facility rate offered by the Central Bank to be 4.25%.
3. This decision shall take force in the manner required under law.

Nerses Yeritsyan,

Deputy Governor of the Central Bank

July 30, 2019

c. Yerevan

PRESS RELEASE
30.07.2019

In the July 30, 2019 meeting the Board of the Central Bank of Armenia decided to leave the refinancing rate unchanged, at a 5.75% level.

There was 1.9% deflation in June of 2019 compared with that of 1.6% registered in the same period of the previous year, in which case the 12-month inflation has reduced to 2.5%, determined by a much deeper seasonal fall in prices of agricultural products. In the meantime however, core inflation has increased to some extent over the month.

In the external sector, global economic growth keeps slowing and demand slackening, and the central banks of the main partner countries to the Republic of Armenia will pursue a policy of easing monetary conditions in the near future. In this situation, the inflation environment in international markets for basic commodities and food products remains weak, and the Board of the Central Bank estimates that inflationary pressures from the external sector generally are not likely.

The Board states that growth rates of economic activity remained strong during the second quarter, as was expected, which is driven by private consumption growth. The impact of the second quarter's fiscal policy on the domestic demand is estimated notably contractionary, too. There is anticipation that in the second half of the year it will be expansionary and, consequently, the fiscal policy's contractionary impact on aggregate demand will reduce markedly, according to the year's results.

In this circumstance, the Board prefers to letting the inflation recover gradually and finds it appropriate to sustain current monetary conditions by leaving the refinancing rate unchanged. At the same time, in view of the anticipated macroeconomic developments, to keep the policy expansionary for a long while will be needed in fulfillment of the mid-term inflation target. As a result, the expectation is that the inflation will run below the target in the coming months but will stabilize around the target in the medium run.

It should be noted that risks to inflation deviating from the projection path are mostly downside, and these depend on the global economic developments and how the state budget will perform further. The Central Bank will respond to the emergence of any of such risks and developments adequately while maintaining price stability in the medium run.

Detailed information that underlies the decision on setting the interest rate will be available in Press Release (Minutes on Interest Rate) to be published by August 13, 2019.

.....
Press Service of the Central Bank of Armenia